



Office of Public Affairs
U.S. Department of Justice



Corporation and Former Chief Executive Officer Plead Guilty to Health Care Fraud and Tax Conspiracy

Friday, January 24, 2025

For Immediate Release

Office of Public Affairs

The Justice Department announced today that KBWB Operations LLC, which did business as Atrium Health and Senior Living (KBWB-Atrium), and former Chief Executive Officer and Managing Member Kevin Breslin of KBWB-Atrium, both pleaded guilty to one count of health care fraud and one count of tax conspiracy related to the operation of numerous skilled nursing facilities.

"Americans rely on skilled nursing facilities to care for themselves, family members and other loved ones, and the operators of these institutions must live up to their obligations and the law," said Acting Assistant Attorney General Brett A. Shumate of the Justice Department's Civil Division. "The Department of Justice will continue to work closely with its law enforcement partners to help ensure the safety and dignity of our most vulnerable citizens."

Breslin, 58, of Hoboken, New Jersey, pleaded guilty in the U.S. District Court for the Western District of Wisconsin on Dec. 17, 2024. KBWB-Atrium pleaded guilty in the same court on Jan. 21. Breslin is one of six owners of KBWB-Atrium. KBWB-Atrium's corporate headquarters was located in Little Falls, New Jersey, and its Midwest corporate office was located in Appleton, Wisconsin. KBWB-Atrium operated and owned nursing facilities in New Jersey, Wisconsin, and Michigan.

On Feb. 1, 2023, a Wisconsin grand jury returned a 12-count indictment against defendants Breslin and KBWB-Atrium (collectively the defendants) charging health care fraud and tax conspiracy, among other charges. According to court documents, from approximately Jan. 1, 2015, to in or about September 2018, KBWB-Atrium operated and owned 23 skilled nursing facilities in Wisconsin, and Breslin was responsible for overseeing all of KBWB-Atrium's operations. The primary source of income for the KBWB-Atrium Wisconsin skilled nursing facilities was federal Medicare and Medicaid funds from the Centers for Medicare and Medicaid Services (CMS).

According to court documents, the defendants' alleged health care fraud scheme involved unlawfully diverting CMS funds intended for the operation, management, maintenance, and care of the residents of the KBWB-Atrium Wisconsin skilled nursing facilities for other purposes and personal expenses. The defendants allegedly prioritized distributions and guaranteed payments to KBWB-Atrium's owners regardless of KBWB-Atrium's financial situation. The defendants' alleged actions resulted in failing to meet the required federal regulations governing skilled nursing facilities, including not operating the KBWB-Atrium Wisconsin skilled nursing facilities in a manner that would enhance residents' quality of life. According to court documents, the defendants also knew that vendors were not being paid for extended periods of time or some were not paid at all for their services. Additionally, defendants allegedly failed to pay third-party administrators monies deducted from KBWB-Atrium employees' paychecks for insurance premiums and 401(k) plan contributions.

As a part of the tax conspiracy alleged in court documents, Breslin, acting on behalf of KBWB-Atrium, directed that income taxes and employment taxes withheld from KBWB-Atrium Wisconsin employees' paychecks not be paid over to the IRS. This caused employees to prepare tax returns listing those withholdings as having been paid to the IRS, which was false.

The defendants are scheduled to be sentenced on May 7 before U.S. District Judge William M. Conley for the Western District of Wisconsin. Breslin faces a maximum penalty of up to 10 years in prison for the health care fraud count and five years in prison for the conspiracy to commit an offense against the United States count, along with a period of supervised release. Both defendants face restitution and other monetary penalties. A federal district court judge will determine the sentence of each defendant after considering the U.S. Sentencing Guidelines and other statutory factors.

"Healthcare fraud affects every American," said U.S. Attorney Timothy M. O'Shea for the Western District of Wisconsin. "My office was proud to partner with the Justice Department's Civil Division to help prosecute these individuals who harmed seniors and exploited our health care benefits programs for personal gain."

"This guilty plea demonstrates our unwavering commitment to holding individuals accountable who exploit vulnerable populations and defraud the healthcare system for personal gain," said Assistant Director Chad Yarbrough of the FBI Criminal Investigative Division. "Breslin's actions not only eroded public trust but endangered the well-being of patients who rely on our health care system. The FBI will continue to work tirelessly with our partners to investigate and bring to justice those who abuse positions of trust."

"The guilty pleas of Kevin Breslin and KBWB Operations LLC serve as a reminder that healthcare fraud is not only a direct violation of patient care, but also an attack on the financial systems that underpin public and private trust," said Acting Special Agent in Charge Ramsey E. Covington of the IRS Criminal Investigation (IRS-CI) Chicago Field Office. "IRS-CI and its law enforcement partners remain dedicated to investigating and prosecuting individuals and businesses who seek to exploit public and private institutions for personal gain."

“HHS-OIG is dedicated to protecting Medicare and Medicaid funds and ensuring that health care providers uphold their responsibility to serve vulnerable populations with integrity,” said Special Agent in Charge Mario M. Pinto of the Department of Health and Human Services Office of Inspector General (HHS-OIG). “The actions of those involved in this scheme erode the trust placed in our nation’s health care system, and we will continue working with our law enforcement partners to hold accountable those who misuse public funds for personal gain.”

“Employers placing profit over upholding their legal fiduciary responsibilities when managing health benefit plans will not be tolerated,” said Regional Director Ruben R. Chapa of the Employee Benefits Security Administration in Chicago. “The Employee Benefits Security Administration remains committed to ensuring that those who knowingly break the law are held fully accountable.”

The IRS-CI Chicago Field Office; HHS-OIG – Office of Investigations, Milwaukee Field Office; U.S. Department of Labor, Employee Benefits Security Administration, New York and Chicago Regional Offices; FBI Milwaukee Field Office; and the State of Wisconsin Department of Justice, Division of Criminal Investigation, Medicaid Fraud Control and Elder Abuse Unit investigated the case.

Trial Attorneys with the Civil Division’s Consumer Protection Branch are prosecuting the case with assistance from the U.S. Attorney’s Office for the Western District of Wisconsin.

Additional information about the Consumer Protection Branch and its enforcement efforts may be found at www.justice.gov/civil/consumer-protection-branch. For more information about the U.S. Attorney’s Office for the Western District of Wisconsin, visit its website at www.justice.gov/usao-wdwi.

Updated April 25, 2025

Topics

- CONSUMER PROTECTION
- HEALTHCARE FRAUD
- TAX

Components

- Civil Division
- Federal Bureau of Investigation (FBI)
- USAO - Wisconsin, Western

Press Release Number: 25-109

Related Content



PRESS RELEASE

The Fraud Division Announces Charges Against 19 Defendants for Medicaid Home Health Aid Schemes

The Justice Department's National Fraud Enforcement Division (Fraud Division) announced a major investment in combatting Medicaid fraud through a significant expansion of the Division's Northeast Health Care Fraud Strike Force...

August 4, 2026

PRESS RELEASE

Adult Day Care Owner Pleads Guilty to \$500,000 Medicare Fraud Scheme

A Michigan woman pleaded guilty today to billing Medicare for psychotherapy services that were never provided to residents of her adult day care center.

July 27, 2026

PRESS RELEASE

Justice Department Files Complaint Against Manufacturer and Retailer of Allegedly Imminently Hazardous Immersion Water Heaters

The Justice Department, together with the Consumer Product Safety Commission (CPSC), announced today the filing of a [complaint](#) against Cixi Miaojie Electrical Appliance Co. Ltd., and Changsha Jiayi Tianzhuo Trading...

July 22, 2026

